

Audience-dependent explanations

A research project under the MSCA DIGITAL

Patricia Marcella Evite

patriciamarcella.evite@unina.it

University of Naples Federico II



UNIVERSITÀ DEGLI STUDI DI NAPOLI
FEDERICO II

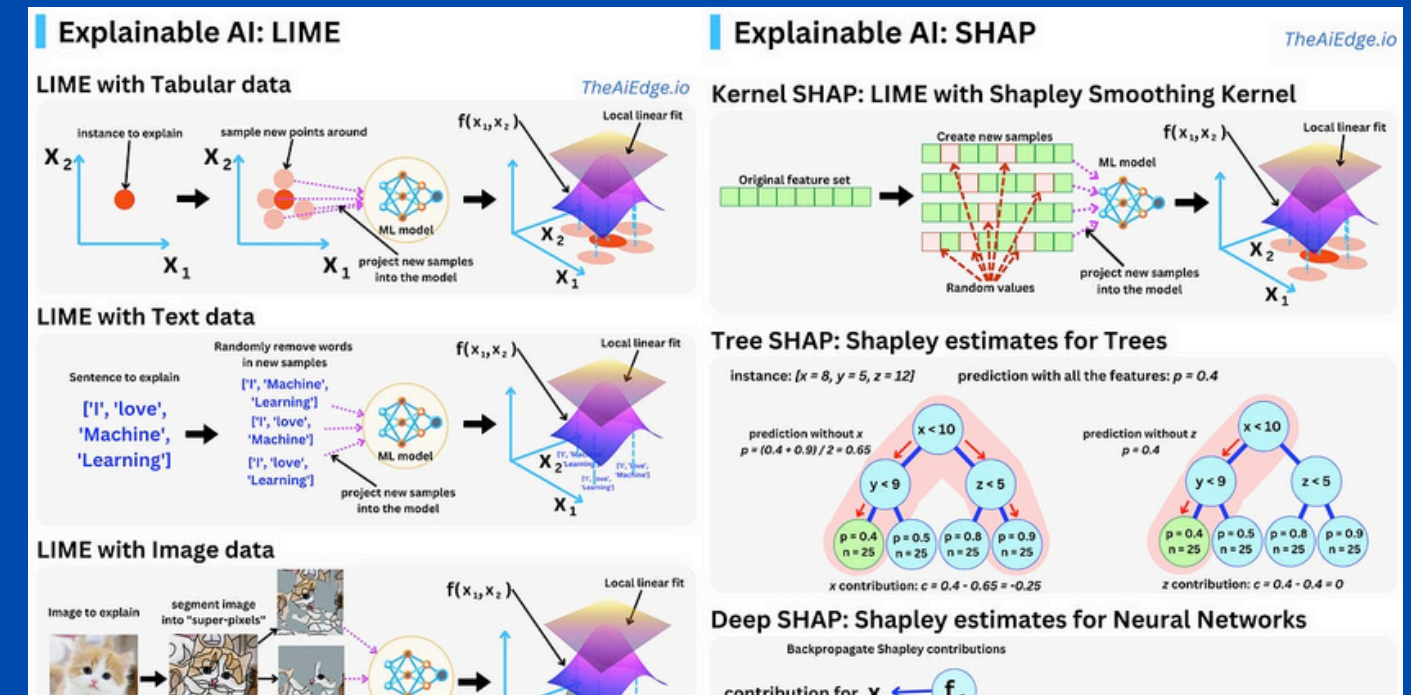
Research Problem

WHAT I WANT TO SOLVE

XAI methods in finance are focused on technical users (SHAP, LIME) like "inmates running the asylum" (Miller et al., 2017)

Incomprehensible AI leads to low AI trust and adoption (Bernardo & Seva, 2023)
Overtrust in incapable AI (Ehsan et al., 2021)

Literature suggests audience-dependent explanations (Misheva & Osterrieder, 2023; Schmude et al., 2024)



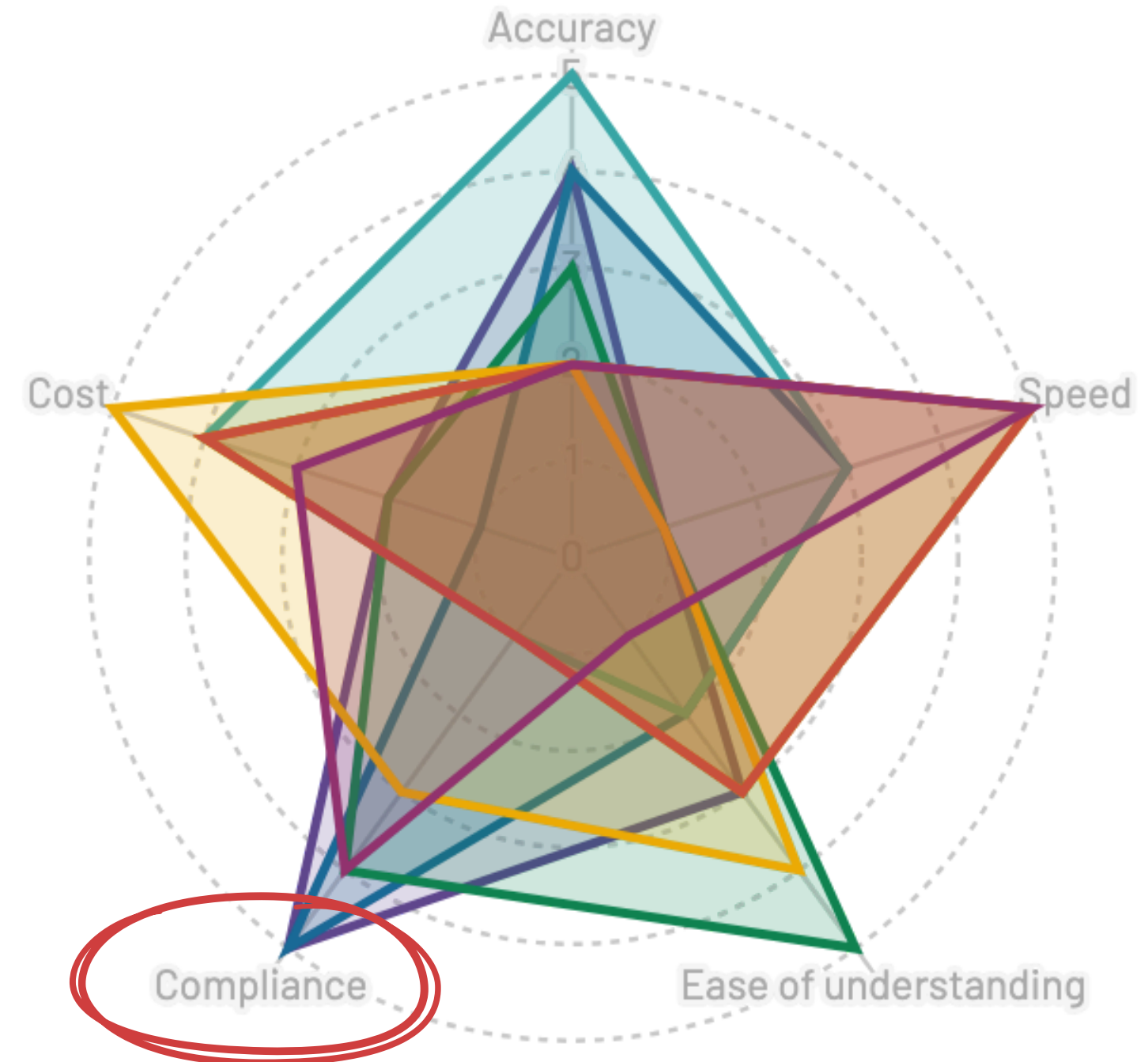
What we know so far

FROM FINANCE PROFESSIONAL INTERVIEWS

1. Explanations must have **evidence** for compliance and support auditability.
2. Business users want **simple** and usable reasons; innovators and risk staff need traceability to data, policies and **metrics**.
3. **Accuracy and compliance** outweighs speed and cost (efficiency gains).
4. Accuracy varies per role, from faithfulness to source data to reducing false positives and errors.

Legend for the radar chart:

- Credit risk modeller (Purple)
- Corporate banker (Blue)
- Product manager (Teal)
- Branch manager (Green)
- Research (Light Green)
- Data scientist (Yellow)
- Risk manager (Orange)
- Risk monitoring (Red)
- CEO (Dark Purple)



Open issues in the regulatory space

Normative vs descriptive
explanations; XAI to go
beyond explanation but
empowerment of customers
for contestability
(Schmude et al., 2025)

Disparity between supervisors and financial
institutions create a trade-off between model
performance and explainability (Kupier et al., 2019)



Discussion

HOW CAN **ECB** AND **MSCA** WORK TOGETHER?

- Nominate 10–12 experts for two (2) **focus groups** (prudential & conduct) and 6–8 for 1:1 **interviews**.
- Support with **survey dissemination** to supervisors, regulators, banks.
 - Any rider questions can be discussed
- Provide redacted **case** comparisons.
- Host a **workshop** to co-review results and draft recommendations.



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